Good News and Subsequent Financial Reporting Problems

	Financial restatement	Earnings adjustment	Downward earnings	Financial violation	Restatement or violation
Big4 ($N = 659$)	9 (1.37%)	3 (0.46%)	1 (0.15%)	1 (0.15%)	10 (1.52%)
Local 8 ($N = 2,489$)	127 (5.10%)	52 (2.09%)	36 (1.45%)	41 (1.65%)	154 (6.19%)
Other ($N = 1,623$)	105 (6.47%)	42 (2.59%)	30 (1.85%)	29 (1.79%)	127 (7.83%)
Non-Big4 ($N = 4,112$)	232 (5.64%)	94 (2.29%)	66 (1.61%)	70 (1.70%)	281 (6.83%)

Incomplete amount / direction information	Big4	Non-Big4
Declared earnings change, amount unavailable	2	15
At least one restatement with unknown earnings direction	6	143

Notes: Counts and percentages of firm-year annual announcements. Baseline good news is original-information $ES > 0.10$; fiscal years 2001–2021; three-year follow-up after the annual announcement. The inherited good-news cohort requires complete returns over $[-5, +5]$ (4,771 announcements). Problems must concern the baseline fiscal year. The first three outcomes narrow from financial restatement to earnings adjustment to downward earnings adjustment. Annual consolidated-profit amounts take priority; explicit single-year declarations supplement missing amounts. Financial violations are separate; the last column is their deduplicated union with financial restatements. Non-Big4 combines Local 8 and Other. Missing amount or unknown direction is reported separately, not coded as no adjustment; categories may overlap across notices for the same firm-year. No recorded problem is not a verified absence of error. These are unadjusted descriptive comparisons.